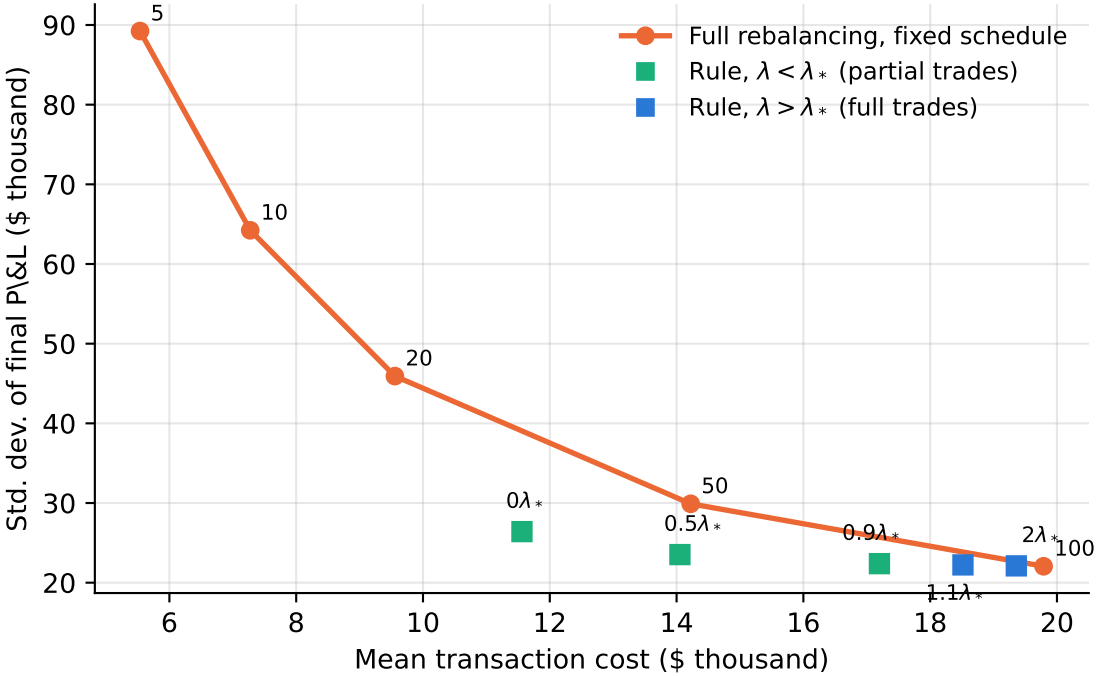
Full rebalancing, fixed schedule
Rule, $\lambda < \lambda_*$ (partial trades)
Rule, $\lambda > \lambda_*$ (full trades)
Std. dev. of final P\&L ($ thousand)
Mean transaction cost ($ thousand)
90
80
70
60
50
40
30
20
6
8
10
12
14
16
18
20
5
10
20
50
100
$0\lambda_*$
$0.5\lambda_*$
$0.9\lambda_*$
$1.1\lambda_*$
$2\lambda_*$